STARTUP FINANCIAL MODEL — KEY ASSUMPTIONS

All figures in INR

REVENUE ASSUMPTIONS		
Year 1 Revenue (INR)	54,00,000	*Hardcoded input*
Revenue Growth Rate — Y2	50.0%	*YoY growth*
Revenue Growth Rate — Y3	35.0%	*YoY growth*
Revenue Growth Rate — Y4	25.0%	*YoY growth*
Revenue Growth Rate — Y5	15.0%	*YoY growth*
Gross Margin Change	7.0%	*Margin Increase as Scale goes up*
Gross Margin %	60.0%	*Product margin*

SG&A ASSUMPTIONS		
Sales & Marketing (% Revenue)	20.0%	*Scales with rev*
General & Admin (% Revenue)	10.0%	*Scales with rev*
R&D (% Revenue)	8.0%	*Scales with rev*

CAPEX & DEPRECIATION		
Capex (% Revenue)	5.0%	*Maintenance + growth*
Useful Life (years)	5	*Straight-line depr.*
Beginning PP&E, Net (INR)	14,00,000	*Y1 opening balance*

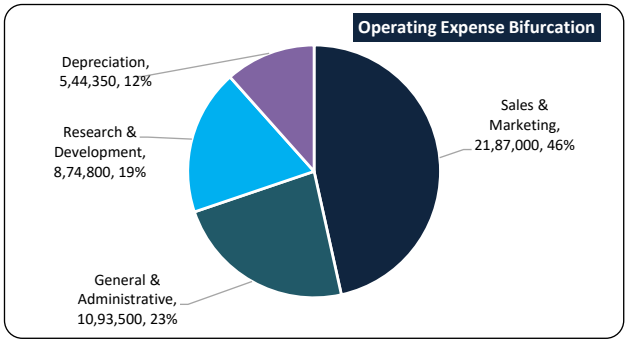
DEBT SCHEDULE		
Beginning Debt (INR)	6,00,000	*Seed / Series A debt*
Annual Interest Rate	7.0%	*7% fixed*
Annual Debt Repayment (INR)	1,00,000	*Straight amort.*

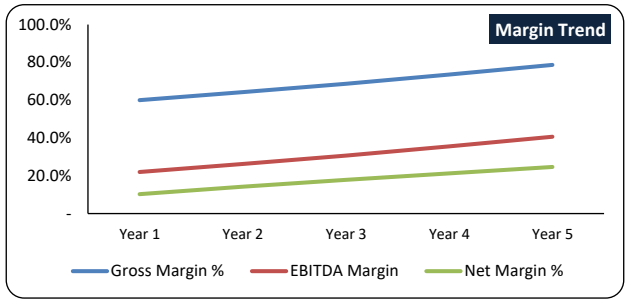
OTHER		
Tax Rate	30.0%	*Marginal Tax Rate in India*
Beginning Cash (INR)	8,00,000	*Cash on hand Y1 start*
Beginning Equity (INR)	20,00,000	*Paid-in capital*

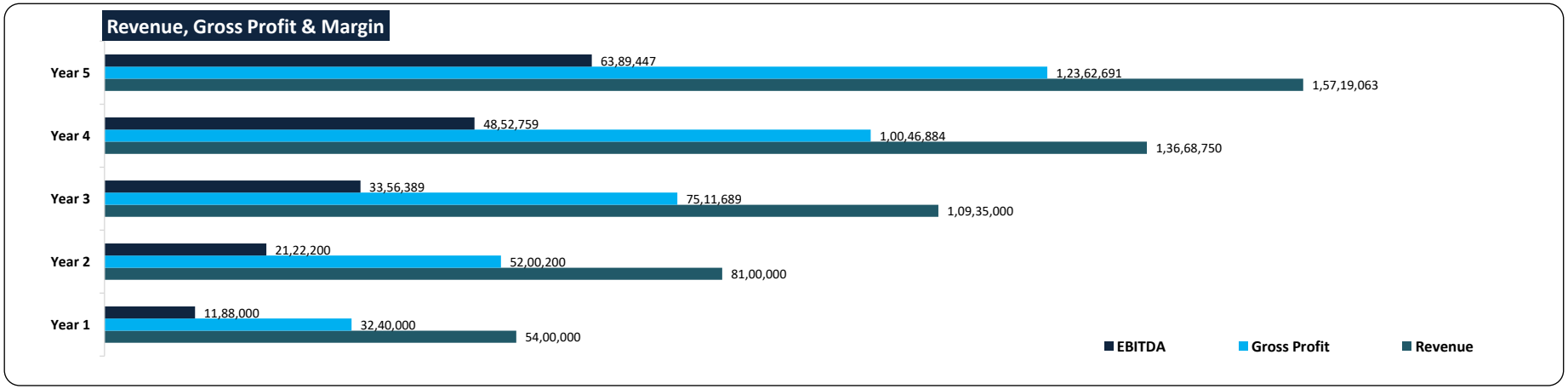
Income Statement (INR)

Year 3

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	54,00,000	81,00,000	1,09,35,000	1,36,68,750	1,57,19,063
Cost of Goods Sold	(21,60,000)	(28,99,800)	(34,23,311)	(36,21,866)	(33,56,372)
Gross Profit	**32,40,000**	**52,00,200**	**75,11,689**	**1,00,46,884**	**1,23,62,691**
Gross Margin %	*60.0%*	*64.2%*	*68.7%*	*73.5%*	*78.6%*
Operating Expenses					
Sales & Marketing	(10,80,000)	(16,20,000)	(21,87,000)	(27,33,750)	(31,43,813)
General & Administrative	(5,40,000)	(8,10,000)	(10,93,500)	(13,66,875)	(15,71,906)
Research & Development	(4,32,000)	(6,48,000)	(8,74,800)	(10,93,500)	(12,57,525)
Depreciation	(3,54,000)	(4,35,000)	(5,44,350)	(6,81,038)	(8,38,228)
Total Operating Expenses	**(24,06,000)**	**(35,13,000)**	**(46,99,650)**	**(58,75,163)**	**(68,11,472)**
EBITDA	**11,88,000**	**21,22,200**	**33,56,389**	**48,52,759**	**63,89,447**
EBITDA Margin	*22.0%*	*26.2%*	*30.7%*	*35.5%*	*40.6%*
EBIT (Operating Income)	**8,34,000**	**16,87,200**	**28,12,039**	**41,71,721**	**55,51,219**
Operating Margin	*15.4%*	*20.8%*	*25.7%*	*30.5%*	*35.3%*
Interest Expense	(42,000)	(35,000)	(28,000)	(21,000)	(14,000)
EBT (Pre-Tax Income)	**7,92,000**	**16,52,200**	**27,84,039**	**41,50,721**	**55,37,219**
Income Tax Expense	(2,37,600)	(4,95,660)	(8,35,212)	(12,45,216)	(16,61,166)
Net Income	**5,54,400**	**11,56,540**	**19,48,827**	**29,05,505**	**38,76,053**
Net Margin %	*10.3%*	*14.3%*	*17.8%*	*21.3%*	*24.7%*



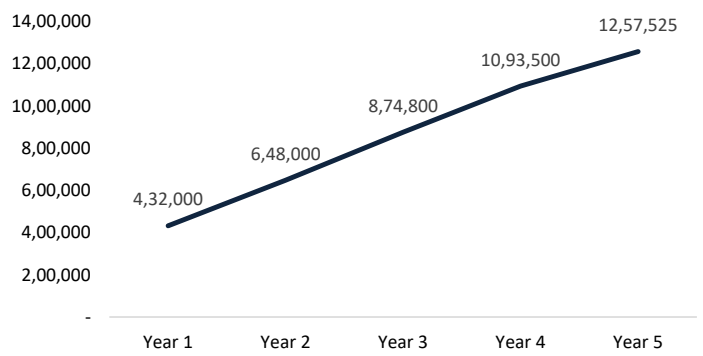




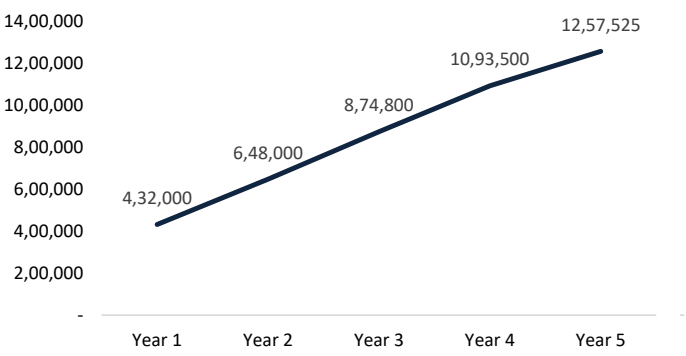
BALANCE SHEET (INR)

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
ASSETS					
Cash & Equivalents	10,98,400	19,14,940	34,77,867	60,07,597	96,30,894
Accounts Receivable	5,40,000	8,10,000	10,93,500	13,66,875	15,71,906
Inventory	4,32,000	6,48,000	8,74,800	10,93,500	12,57,525
Total Current Assets	**20,70,400**	**33,72,940**	**54,46,167**	**84,67,972**	**1,24,60,325**
PP&E, Gross	17,70,000	21,75,000	27,21,750	34,05,188	41,91,141
Accumulated Depreciation	(3,54,000)	(7,89,000)	(13,33,350)	(20,14,388)	(28,52,616)
PP&E, Net	**14,16,000**	**13,86,000**	**13,88,400**	**13,90,800**	**13,38,525**
Total Assets	**34,86,400**	**47,58,940**	**68,34,567**	**98,58,772**	**1,37,98,850**
LIABILITIES & EQUITY					
Accounts Payable	2,70,000	4,05,000	5,46,750	6,83,438	7,85,953
Accrued Liabilities	1,62,000	2,43,000	3,28,050	4,10,063	4,71,572
Total Current Liabilities	**4,32,000**	**6,48,000**	**8,74,800**	**10,93,500**	**12,57,525**
Long-Term Debt	5,00,000	4,00,000	3,00,000	2,00,000	1,00,000
Total Liabilities	**9,32,000**	**10,48,000**	**11,74,800**	**12,93,500**	**13,57,525**
Common Equity / Paid-In Capital	20,00,000	20,00,000	20,00,000	20,00,000	20,00,000
Retained Earnings	5,54,400	17,10,940	36,59,767	65,65,272	1,04,41,325
Total Stockholders' Equity	**25,54,400**	**37,10,940**	**56,59,767**	**85,65,272**	**1,24,41,325**
Depreciation Expense (plug for IS)	3,54,000	4,35,000	5,44,350	6,81,038	8,38,228
TOTAL LIABILITIES & EQUITY	**34,86,400**	**47,58,940**	**68,34,567**	**98,58,772**	**1,37,98,850**
Balance Sheet Check	-	-	-	-	-

Total Current Liabilities

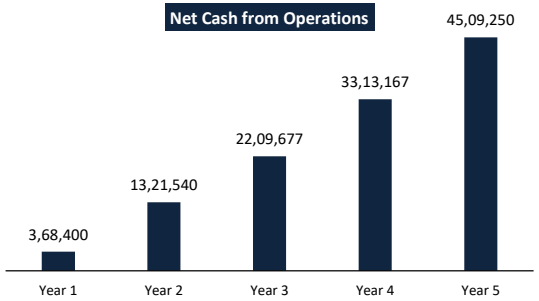


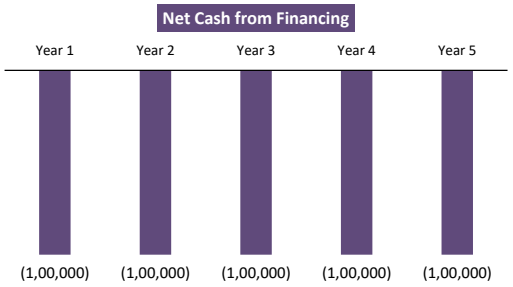
Inventory

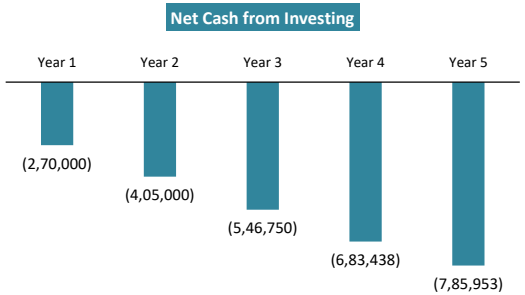


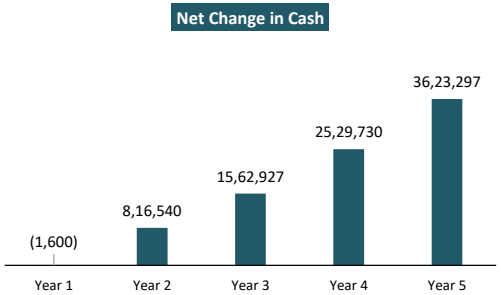
CASH FLOW STATEMENT (INR)

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Operating Activities					
Net Income	5,54,400	11,56,540	19,48,827	29,05,505	38,76,053
Add: Depreciation & Amortization	3,54,000	4,35,000	5,44,350	6,81,038	8,38,228
Change in Accounts Receivable	(5,40,000)	(2,70,000)	(2,83,500)	(2,73,375)	(2,05,031)
Change in Inventory	(4,32,000)	(2,16,000)	(2,26,800)	(2,18,700)	(1,64,025)
Change in Accounts Payable	2,70,000	1,35,000	1,41,750	1,36,688	1,02,516
Change in Accrued Liabilities	1,62,000	81,000	85,050	82,013	61,509
Net Cash from Operations	**3,68,400**	**13,21,540**	**22,09,677**	**33,13,167**	**45,09,250**
Investing Activities					
Capital Expenditures	(2,70,000)	(4,05,000)	(5,46,750)	(6,83,438)	(7,85,953)
Net Cash from Investing	**(2,70,000)**	**(4,05,000)**	**(5,46,750)**	**(6,83,438)**	**(7,85,953)**
Financing Activities					
Debt Repayment	(1,00,000)	(1,00,000)	(1,00,000)	(1,00,000)	(1,00,000)
Net Cash from Financing	**(1,00,000)**	**(1,00,000)**	**(1,00,000)**	**(1,00,000)**	**(1,00,000)**
Beginning Cash	8,00,000	7,98,400	16,14,940	31,77,867	57,07,597
Ending Cash	7,98,400	16,14,940	31,77,867	57,07,597	93,30,894
Net Change in Cash	**(1,600)**	**8,16,540**	**15,62,927**	**25,29,730**	**36,23,297**









CAPEX & DEPRECIATION SCHEDULE (INR)

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Beginning PP&E, Gross	15,00,000	17,70,000	21,75,000	27,21,750	34,05,188
Capital Expenditures (Additions)	2,70,000	4,05,000	5,46,750	6,83,438	7,85,953
Ending PP&E, Gross	**17,70,000**	**21,75,000**	**27,21,750**	**34,05,188**	**41,91,141**
Accumulated Depreciation (Beg)	-	3,54,000	7,89,000	13,33,350	20,14,388
Depreciation Expense	**3,54,000**	**4,35,000**	**5,44,350**	**6,81,038**	**8,38,228**
Accumulated Depreciation (End)	3,54,000	7,89,000	13,33,350	20,14,388	28,52,616
PP&E, Net (Ending)	**14,16,000**	**13,86,000**	**13,88,400**	**13,90,800**	**13,38,525**

DEBT SCHEDULE (INR)

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
Beginning Debt Balance	6,00,000	5,00,000	4,00,000	3,00,000	2,00,000
Debt Repayment	(1,00,000)	(1,00,000)	(1,00,000)	(1,00,000)	(1,00,000)
Interest Expense	**42,000**	**35,000**	**28,000**	**21,000**	**14,000**
Ending Debt Balance	**5,00,000**	**4,00,000**	**3,00,000**	**2,00,000**	**1,00,000**